

Performance Management System Policy

Human Resource Department Amnex Infotechnologies Pvt Ltd

Performance Management & Feedback (Frequency, Method):

The performance is a key element during employee tenure at Amnex. Amnex takes pride in delivering difficult assignments and all employees are expected to help the company deliver. Some of the key aspects of the Performance Appraisal, Measurement and Feedback are defined below:

- A) Performance Cycle:** Amnex moved to a Half yearly review cycle from 1st April 2024 from the year 2024 in accordance with the Business and Financial Cycle. The performance review period will be conducted twice a year, supplemented with quarterly feedback sessions. Quarterly feedback sessions will begin in April 2024 using the Darwin box platform. The review system will be fair, reliable, transparent, and timely.
- B) Goal Setting:** Goal setting for all levels must be completed by April 30 for Half Yearly (HY1), October 30 for Half Yearly (HY2), All employees' goals and Key Performance Indicators (KPIs) for the year should be clearly defined for , Expectations should be clearly defined for each half-yearly period. For new joiners, goals should be set within one month of joining.
- C) Performance Measurement:**
- Performance will be measured twice a year.
 - Both performance assessments (Half Yearly) need to be documented by the manager.
 - The final appraisal (starting in the last month of the performance year) will consider the annual performance of the individual.
 1. Employees will fill detailed self-assessment forms.
 2. Managers will provide detailed feedback.
 3. Calibration will be conducted at the Function Head/BU Head (CXO) level.
 - Promotion cases must:
 1. Be backed by a detailed recommendation from the manager.
 2. Ensure the individual's experience aligns with internal parity.
 3. Have an average yearly rating of "4" or more.
 - The final decision on ratings, promotions, and increments rests with the respective CXOs and will be considered final.
 - Annual salary increments will be announced in May/June every year.
 1. If there are delays in the final announcement of salary increments, arrears will be paid from the effective date of April 1 of the respective financial year.
 - Redesignation and promotions will occur during the increment process.
 - Mid-year changes will only be done in exceptional cases with mandatory approval from the BU Head or CXO

D) Team Inefficiency: All the managers are expected to inform Department Heads and HR timely about any performance issues that they may be facing within their teams.

- Any employee receiving a rating of 2 or less (on a scale of 1-5) would-be put-on a Performance Improvement Plan (PIP) and will be closely monitored for a period of 15-60 days. The whole process will be done in Darwin box. This PIP will be initiated by Immediate reporting manager.
- Any employee receiving a rating of 2 or less in three consecutive Half yearly will face involuntary exit. This will be decided on a case-to-case basis at the discretion of the Management.

E) Responsibility of the Managers: The managers hold equal responsibility to set goals for their direct reportees, provide role clarity, conduct timely performance appraisals and provide appropriate feedback to their employees through one-to-one meeting. Managers who fail to perform these duties do a disservice to both their team members as well as to the organizations. The employees can reach out to the HR Business Partners /Function Heads/BU Heads/Chief People Officer to report such managers. Managers who fail to provide timely feedback to their team members for any of the quarter or half yearly will need to undergo training on performance management. However, if the Managers continue such behaviors, Amnex reserves the right to take appropriate actions includes warning letter or any disciplinary action required.

F) Eligibility Criteria for PMS Review and Quarterly Feedback form:

- Employees who have completed their probation period and are confirmed employees will be eligible for PMS and quarterly reviews.
- Employees who joined on or before June 30th and got confirmed before the start of the HY1 cycle will be eligible for the HY1 review cycle.
- Employees who joined on or before December 31st and got confirmed before the start of the HY2 cycle will be eligible for the HY2 review cycle.
- Employees who are confirmed before the start of quarterly feedback will be eligible for the quarterly feedback and subsequently for the half-yearly reviews.
- Employees who join in the middle of the review cycle will have their increment calculated on a prorated basis. If an employee is eligible for an appraisal increment but has not completed six months of service, their increment will be prorated. If employee joined from 1st April to 30th Sept every year, he/she will be eligible for increment in next April and Employee who joins from 1st Oct to 31st March every year, he/she will be eligible for increment in next October respectively and this increment will be on prorata basis.

G) Deadline for completing PMS review cycle.

Performance review period HY 1	April to September
Self-Assessment (employee joined on or before 30 th June every year)	15 th September – 30 th September
Manager assessment and feedback	01 st October – 15 th October
SBU head Review completion	15 th October – 31 st October
Performance review period HY 2	October to March
Self-Assessment(employee joined on or before 31 st December every year)	15 th March – 31 st March
Manager assessment and feedback	01 st April – 15 th April
SBU head Review completion	15 th April – 30 th April
Quarterly Feedback	Deadline for Quarterly Feedback
Q1	25 th June – 15 th July
Q2	25 th December - 15 January

H) Variable pay

- Variable Pay (Half Yearly) are linked to the employee performance and not to be treated as fixed pay.
- The Variable Pay every Half yearly will be based on the performance rating, as agreed upon by the Manager, Department Head and HR. The Variable Pay for half yearly will also be linked to and influenced by company performance in each of the half years review.
- If an employee leaves Amnex, before probation period he will not be eligible for variable pay,
- If an employee leaves Amnex , they will be eligible for variable pay up to their last working day, provided all exit policy criteria are met. They must have been reviewed by their managers and have a rating for variable pay calculation. Therefore, employees must complete their appraisal form covering work until their last day.
- The company reserves the right to recover variable pay within 7 years if it's found that an employee misinformed the organization, engaged in unfair practices, harmed the organization, or suppressed information. Such employees may also face termination, legal action, and damage recovery.
- **Employees with an individual rating of 2 or less will not be eligible for variable pay linked to the company's performance as well as Individual performance.**
- Variable pay calculation covers the period from an employee's joining date, including probation, up to the end of the half year. However, probationary employees will only receive variable pay for that period upon successfully completing their probation. for eg- If an employee joined in September, he/she will be eligible for the HY2 review. However, their variable pay calculation will cover the period from September to March.
- **Please note that Variable Pay is in addition to the fixed CTC and depends upon individual and company performance during the period.**

Distribution of Variable Pay into Individual and Company Performance Linked Components across bands:

Band	Company Linked Component	Individual Linked Component
1	65%	35%
2	65%	35%
3	20%	80%
4	0%	0%
5	0%	0%

Linking Individual & Company performance rating to corresponding Variable Pay component:

Individual Performance Rating		Company Performance Rating	
Individual Performance Rating	Individual Performance Linked Component Pay-out	Company Performance Rating	Company Performance Linked Component Pay-out
1	0%	1	0%
2	0%	2	0%
3	100%	3	120%
4	110%	4	140%
5	125%	5	200%

- **Note:** The Management's interpretation of the policies will be final and binding. The Management reserves the right to amend or withdraw this policy at its discretion, without assigning any reason whatsoever.

I) Assessment Criteria

Rating	Remarks	Professional Parameters
1	Underperformer	Achieves below 50% of assigned tasks. Not communicating regarding hiccups to complete tasks. Quality of work not upto the mark. Not meeting the designated Timeline.
2	Scope for Improvement	Achieves between 50-80% of assigned tasks. Communicate and seek help to complete the assigned job. Task completed needs a second check or verification or correction. Not able to manage time effectively for all tasks.
3	Meets Expectations	Achieves 100% assigned tasks. Consistency and accuracy in completing tasks. Can work independently. Ability to apply knowledge effectively to tasks and projects. Performs just as per instructions received. Ability to prioritize tasks effectively and manage time efficiently.
4	Performer/Reliable	Achieves 100% assigned tasks on or before time. Takes ownership and has the ability to produce high-quality outputs. Clarity and effectiveness in written and verbal communication. Capacity to identify, analyze, and solve problems effectively. Willingness to take on additional responsibilities and go beyond the scope of assigned tasks. Resourceful Thieves to take tough tasks
5	Extraordinary Performer	Achieves 100% assigned tasks on or before time with ownership. Ability to articulate ideas, give and receive feedback. Soundness of judgment and ability to make timely decisions. Ability to identify opportunities for improvement and take action without explicit direction. Ability to adapt to changing priorities, situations, and environments. Capacity to meet deadlines and multitasking. Ability to maintain productivity in high-pressure situations and can handle stress constructively. Good decision making power without supervision Bringing Innovative ideas and generate good amount of new process according to industrial standards on the table.